

EXECUTIVE SUMMARY

A. Introduction

Taguig City gained its cityhood and declared as Highly Urbanized City thru Republic Act (RA) No. 8487 on December 8, 2004. Originally, Taguig was founded as a Municipality on April 25, 1587 as part of the Province of Rizal and became completely independent on January 1, 1918 by virtue of Executive Order No. 108 dated December 19, 1917.

The City's mission is to provide quality service towards making an ideal community where people live, work and do business in a peaceful and progressive environment. It envisions itself to be a loving, caring, peaceful and progressive City and empowering the citizenry to develop their potentials and lead meaningful lives.

The City of Taguig is headed by Hon. Lino Edgardo S. Cayetano, who assumed post as Mayor last July 2019. He is supported by Vice Mayor Ricardo S. Cruz, Jr. with 12 regular members of the City Council joined by the President of the Liga ng mga Barangay and Sangguniang Kabataan as ex-officio members. The City has a total personnel complement of 13,718 consisting of 453 permanent, 658 contractual, 5,996 job order/contract of service and 6,611 casual employees.

B. Financial Highlights

For Calendar Year (CY) 2020, the appropriations of Taguig City for the General Fund (GF) and Special Education Fund (SEF) totaled P17.652 billion. The application of these appropriation amounted to P13.583 billion.

Fund	Appropriations	Obligations
GF	P 16,246,594,554	P 12,839,699,925
SEF	1,405,191,691	742,956,240
Total	P 17,651,786,245	P13,582,656,165

The City's assets, liabilities and equity for the year were P30.661 billion, P14.286 billion and P16.375 billion, respectively. On the other hand, income collected totaled P12.755 billion, while expenses incurred amounted to P12.572 billion, as summarized below with corresponding figures for CY 2019:

Particulars	2020	2019 (As Restated)	Increase/ Decrease
Assets	P30,660,884,676	P28,645,744,698	P2,015,139,978
Liabilities	14,285,938,703	12,763,022,144	1,522,916,559
Government Equity	16,374,945,973	15,882,722,554	492,223,419
Revenue	12,754,692,842	12,576,392,103	178,300,739
Expenses	P12,572,174,071	P 7,930,696,834	P4,641,477,237

The total revenue of P12.755 billion during the year was sourced from the following:

Particulars	GF	SEF	Total
Tax Revenue	P 8,463,507,498	P 1184,294,451	P 9,647,801,949
Share from Internal Revenue Collections	1,759,902,340	-	1,759,902,340
Share from Other National Taxes	309,536,008	-	309,536,008
Service and Business Income	1,028,088,353	9,364,192	1,037,452,545
Shares, Grants and Donations	-	-	-
Other Income	-	-	-
Total Revenue	P 11,561,034,199	P 1,193,658,643	P 12,754,692,842

C. Operational Highlights

Among the most significant accomplishments reported by the City for CY 2020 are:

- Established the Lakeshore Mega Quarantine Facility that has its own swabbing center, quarantine and isolation facility and a molecular laboratory;
- Conducted free testing through the implementation of Testing under Systematic Mass Approach to Responsible Testing or SMART;
- Introduced the Telemedicine in all 31 Barangay Health Centers to reduce the exposure of patients and health workers to COVID-19;
- Constructed/established Satellite Evacuation Centers to help those affected by storms and other calamities;
- Created new offices to efficiently deliver public service. These offices are City Epidemiology and Disease Surveillance Unit (CEDSU), Mobility Office, Safe City Task Force and Tapang Malasakit Disiplina (TMD) Team.
- Provided financial assistance to different sectoral groups, including the City's Scholars, and distributed relief goods to residents of Taguig City that alleviate the socio-economic effects of COVID-19.
- Provided medical assistance to senior citizens and other vulnerable sectors through the implementation of programs for delivery of Cash Gifts and Medicine; Hatid-Sundo Program – a transport service for patients who are in need of dialysis, chemotherapy or radiology; and Shield All Vulnerable and Elderly (SAVE) - protection of elderly and vulnerable sector through health monitoring and response to their needs.
- Prioritized quality education and provided free tablets, expanded the scholarship program, launched Tele-Aral and Tutorial Program; Blended Learning Program; teaching hubs at Taguig City University (TCU), Taguig Online Resources and

Community Hub (TORCH) and Training and Enrichment Courses from Taguig Online Campus (TECTOC) Program; and Cyber Graduation.

- Established its own weather monitoring system or the provision of a Taguig Open-Access Weather & Environment Reporting System (TOWER) and has resident meteorologist to provide the latest weather update and a detailed hazard assessment and response.
- Provided an online appointment system for easy access to the sixty departments in Taguig City Hall, SM Aura Satellite Office, and Offsite Payment Center at Vista Mall Parking Building.

D. Scope and Objective of Audit

The audit covered the accounts and operations of the City of Taguig for the period January to December 31, 2020. The objectives of the audit are to: (a) be able to lend credence to Management's assertions on the financial statements; (b) recommend agency improvement opportunities; (c) determine compliance with existing laws, rules and regulations; and (d) determine the extent of implementation of prior year's audit recommendations.

E. Auditor's Opinion on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements because of the following:

1. Property, Plant and Equipment (PPE) accounts of P5.711 billion out of the total carrying value of P6.734 billion could not be ascertained due to non-completion of the conduct of physical count, and non-reconciliation of the Report of Physical Count of Property, Plant and Equipment (RPCPPE) of the City General Services Office (CGSO) with the City Accounting Office (CAO) records.

We reiterate our previous year's recommendation that:

- a. The Local Chief Executive, thru the City Administrator, –
 - Instruct the newly created overall Inventory and Reconciliation Committee on PPE accounts to convene, undertake and complete the physical inventory of property, and conduct the reconciliation with the property and accounting records. The committee shall be required to render a report on completion and reconciliation of the PPE accounts within the prescribed timetable;

- Require the Procurement Office, to provide the CGSO, upon delivery of the properties, with copies of sales invoice, approved purchase order, distribution list of the PPE supporting the Acceptance and Inspection Report, as their reference in the preparation of the Property Acknowledgement Receipt, Inventory Tag and completion of the RPCPPE;
- b. The Property Custodian/Officer, the CGSO and the CAO to –
- Set-up an effective system to keep track and capture the related transactions on PPE; reconcile and adjust PPE records regularly accordingly; and to promptly reconcile the results of the physical count with the accountabilities recorded in the books of accounts and the property cards; and
 - Submit the reconciled RPCPPE to the Auditor within the prescribed period mandated in the above COA Circulars.
2. The non-recording of credit and debit memos and other reconciling items due to lack of documents to substantiate the adjustments, understated the balance of Cash in Bank-Local Currency, Current Account by the net amount of P3.350 million, which includes the unreconciled beginning bank and book balance of P6.408 million.

We reiterated our recommendations that:

- a. The City Treasurer's Office (CTO) coordinate with the bank officials on the status of the request for copies of bank credit and debit memos, and other reconciling items for submission to the CAO to support the adjustments;
- b. The CAO to –
- Upon receipt of the documents from the CTO, prepare immediately the necessary adjusting entries for the reconciling items; and
 - Coordinate with the CTO for the immediate clearing of reconciling items pertaining to the difference of P6,408,293.60 between bank and book beginning balance.

Summary of Other Significant Observations and Recommendations

The following are the other significant observations and recommendations in the audit of the City of Taguig for CY 2020:

1. The City was able to exceed its revenue projections for the year by P110.586 million or 1.11 percent amidst the pandemic. The income from Business Taxes still remarkably surpassed the projections for CY 2020 in performance efficiency.

We commended Management, in particular the Business Permits and Licensing Office (BPLO) and the CTO, in surpassing the projection for Business Taxes, despite the pandemic in CY 2020.

We recommended that the Management, thru the Local Finance Committee (LFC):

- a. Involve CTO and other Departments in generating revenues to meet the targets;
 - b. Require the CTO to accomplish the Quarterly Report of Income to keep track of the status of revenue generation; and
 - c. Require the concerned officials to conduct periodic review of the Quarterly Report of Income to ascertain whether collection targets are attained to provide assurance of improved finances for the operations of the City.
2. The City registered a net increase of P92.315 million or .78 percent in the collections during the year as compared with the previous year, despite the COVID-19 pandemic.

We commended the Management in the increase of revenues over the last year's figures, despite the pandemic. However, we still recommend that Management, thru the LFC:

- a. Conduct periodic review of its collection efficiency to be assured of improved performance and higher revenues generated. Quarterly review is suggested in order to keep track of revenue accounts that register decline in performance efficiency;
 - b. Use the revenue targets in the real property taxes to further intensity collections therefrom. Avail of administrative and judicial remedies in enforcing payments particularly in tax delinquencies; and
 - c. Perform close monitoring of income generated from Permit Fees, Hospital Fees and other fees which decrease in income to ensure efficient collection.
3. The City's projection of income certified collectible for CY 2020 is presented in summary of receipts or major income account group and not in the itemized or sub-major income or specific receipts classification provided in the Revised Chart of Accounts prescribed in COA Circular No. 2015-009 dated December 1, 2015.

We recommended that the Management, thru the Local Finance Committee (LFC), involve all the departments/offices concerned for revenue generating activities, in preparation and submission of the report for projected income in order that the necessary details or sub-major income accounts may likewise be rendered by CTO and other LFC members to the City Mayor, in compliance with COA Circular No. 2015-009.

4. Official Receipts (ORs) were again issued to acknowledge deductions from tax obligations during the year upon presentation of the Tax Credit Certificates (TCCs) for previous years' overpayment of taxes, which is inconsistent with the requirements of Sections 67 and 68 of Presidential Decree (PD) No. 1445.

We recommended that the CTO:

- a. Stop the practice of issuing ORs for TCCs applied for payment of taxes as a deduction from their tax obligations; and
 - b. Support the Report of Collections and Deposits rendered by collectors with ORs, order of payments/tax bills and copies of the TCCs.
5. The Acceptance and Inspection Reports and Summary of Supplies and Materials Issued (SSMIs) were not properly substantiated anew to document the recording and utilization of Inventory and related Expense accounts, contrary to the requirements of Section 4(6) of PD No. 1445 and Vol. I of the Manual on New Government Accounting System (MNGAS) for Local Government Units (LGUs).

We recommended that compliance with the requirements of Section 4(6) of PD No. 1445 and Sections 118, 119, 116 and 121 of Vol. I of MNGAS for LGUs, be observed as follows:

- a. The Local Chief Executive, thru the City Administrator, –
 - Instruct the GSO, warehouse keepers and end users' supply officers to require from suppliers upon delivery of procured items, the copies of delivery receipts bearing the Sales Invoices (SIs) and the related Purchase Order (PO) reference;
 - Require the GSO to document acceptance, inspection and recording thru the use of the AIR properly filled up with the necessary information, and complete documentation as to PO reference, SIs/Delivery Receipts (DRs) reference and acceptance by the end user or property officer/warehouse keeper; and
 - For the delivered or procured items for CY 2020, instruct the Procurement Office, having the control of the contracts, to submit the delivery receipts

corresponding to POs and sales invoice attached to the financial transactions to document the recorded Inventory Accounts;

b. The GSO to –

- Require end user and property officer/warehouse keeper to separately prepare and sign an Acceptance Report with POs, DRs and SIs reference of the delivered goods which will document the AIR signed by the GSO Head or Head of Office; and
- Submit to CAO, the monthly SSMI supported with Report of Issued Supplies (RIS) with a duly acknowledged List of Recipients/Distribution List which shall also be indicated with PO/SIs/DRs reference, pictures and other documentation, as basis of the adjustment of Inventory accounts.

c. The Inspection Committee to –

- Comply with the conduct of inspection of the procured items simultaneously with the acceptance of deliveries by the GSO; and
- Require the Chairman, the Committee of Inspection, and the members, who have the field of expertise, to sign the AIR for the delivered goods. For example, for the procured construction materials, the AIR should be signed by the Chairman and the engineer-member, and IT specialist for IT supplies.

d. The CAO to –

- See to it that the recorded inventory accounts will be supported with the AIR, sales invoices with delivery receipts and PO reference; while the recorded utilization or issuance of supplies be documented with SSMI with RIS together with duly acknowledged list of recipients/distribution list, indicating the PO/SIs/DRs reference, pictures and other documentation; and
- To see to it that the recorded delivered or procured items and utilization are supported with the documents required under recommendations a and b, mentioned above.

6. The City has yet to enact its Revenue Code to consolidate, refine and update 34 ordinances from 1993 to 2020 on the rules and regulations pertaining to its revenue administration system, as well as clarify unclear provisions of the Taguig City Business Tax Ordinance of 2018 on taxes, fees and charges, thus, no ready reference is available for stakeholders, collection implementers and taxpayers.

We reiterated our recommendation that Management consider revision and codification of the City's revenue rules and regulations in order to have a ready reference for the implementers and the taxpayers.

We also recommended that Management coordinate with the Sangguniang Panlungsod to revisit the provisions of the CY 2017 Business Tax Ordinance to come up with amendments that would give a clearer interpretation of revenue provisions.

7. The City was not able to maximize its revenue raising power by updating/increasing tax impositions on all real property and other fees and charges, as mandated in Sections 191 and 219 of RA No. 7160, hence, rates may no longer be appropriate in the current times and could have an impact in the increase of revenue generation.

We reiterated our previous year's recommendation that Management coordinate with the Sangguniang Panlungsod to revisit the provisions of the Taguig Revenue Code, particularly for Schedule of Fair Market Values and other fees and charges to come up with amendments that will redound to the best interest of the government and the citizenry, and introduce new rates that are responsive to the current times.

8. The collections of City Tax imposed on the sale of real properties by real estate sellers, contractors/developers and financial institutions/banks have no legal basis as there are no provisions on the specific city tax rates to be enacted under the 2017 Revenue Ordinance.

We reiterated our previous year's recommendation that the CTO should consider the proposal for the amendments on the provisions of Section 24 of 2017 Revenue Ordinance, to include the specific city tax rates imposition.

9. The tax rate for Real Estate Business prescribed under Section 12 of Sangguniang Panlungsod Ordinance No. 34, series of 2017, was not uniformly applied on the prior year's gross receipts/sales declared by certain sellers, dealers or developers of real estate, thus, the reliability of the system, and the accuracy of the business taxes collected from the affected establishments are doubtful.

We recommended that the CTO as the process owner and the designated IT Office tasked for the activity, effect the uniform application of the tax rate prescribed in the computation of tax for establishments/companies engaged in the business of selling, dealing or developing real properties.

We further recommended that the CTO and the IT Office ensure that the automated system computes the tax uniformly for the concerned business establishments, otherwise, we require the submission of the legal basis of the rates of tax imposed other than those prescribed by the Revenue Code.

10. The City undertook the optimal use and implementation of the revised plans, programs and projects for CY 2020 Local Disaster Risk Reduction Management (LDRRM) Funds of P586.476 million or 99.66 percent to address the disaster response requirements of the COVID-19 emergency.

We commended Management for the optimal use and implementation of the revised planned programs and projects of the LDRRM Funds for CY 2020, in addressing the needs of the constituents amidst the COVID-19 pandemic.

11. The City's 92,472 affected families during pandemic were recipients of the Social Amelioration Program (SAP) out of the transferred funds from the national government in the amount of P739.776 million. There was substantial compliance with the requirements on the grant of financial support to the identified low income families pursuant to Department of Social Welfare and Development (DSWD) Memorandum Circular Nos. 04 and 09, series of 2020, with few exceptions on delays in the liquidation of cash advances and incomplete documentation.

We commended Management for the substantial compliance with the requirements on the grant of financial support to the identified low income families pursuant to DSWD Memorandum Circular Nos. 04 and 09, series of 2020.

For few exceptions on delays in the liquidation of cash advances and incomplete documentation, we recommended Management to:

- a. Require SDOs on the strict adherence to the provisions in COA Circular No. 97-002 dated February 10, 1997, on the full liquidation of cash advances at year-end or as soon as the purpose is served;
 - b. Request City's Social Welfare and Development Office (CSWDO) to adhere with the requirements of Section 4(6) of PD No. 1445, by submitting the required documents such as copies of SACs, IDs/Certifications and Certification from beneficiaries on the acknowledgement of SAP; and
 - c. Request justification from CSWDO why there were five beneficiaries who received the SAP assistance twice; justification on the changes in the names of SAP beneficiaries in the payroll and why Barangay Tanyag was not provided with a list of SAP beneficiaries for posting purposes.
12. The City extended P857.150 million financial assistance to 214,573 beneficiaries for various sectors of the community, distributed four waves of relief goods worth P1.351 billion to 375,000 families and provided medical/quarantine facilities of P97.613 million, as response measures to address the COVID-19 pandemic in line with Proclamation No. 922 and RA Nos. 11469 and 11494.

We recognized and commended the City's effort in providing its constituents with financial assistance, relief goods assistance and medical/quarantine facilities, as well as RT-PCR testing laboratories, needed this pandemic.

The above observations and recommendations were discussed with the concerned City officials and staff on May 5, 2021. Management's views and comments were incorporated in the report, where appropriate.

F. Summary of Audit Suspensions, Disallowances and Charges

The audit disallowances and charges of P8,711,265.00 and P1,799,510.26, respectively, as shown in the Report on Enforcement and Monitoring of Final and Executory Decisions (REMFED) and Statement of Audit Suspensions, Disallowances and Charges (SASDC) as of December 31, 2020, were not settled at the end of the year.

The Notices of Disallowance (NDs) of P8,711,265.00 issued prior to the implementation of COA Circular No. 2009-006, pertains to NDs covered with Motion for Appeal filed before COA in CY 2008 and Petition for Certiorari filed before the Supreme Court on August 6, 2014.

G. Status of Implementation of Prior Years' Audit Recommendations

Monitoring of implementation of the 58 audit recommendations embodied in the CYs 2019, 2018, 2017, 2016 and 2015 Annual Audit Reports, disclosed that 26 or 45 percent were fully implemented, 27 or 47 percent were partially implemented and 5 or 8 percent was not acted upon.